

Daily dose of HK & mainland China Real Estate

Research Focus and Views on the News

Equities
Real Estate

HK & Mainland China

Highlights of the day

Hong Kong

- ◆ CCL Index up 0.1% w-o-w, to 158.12ppt
- ◆ Three 'Top 10' home purchases recorded in the secondary market over the past weekend
- ◆ New price list launched at One Victoria Cove Phase 4

Mainland China

- ◆ Shenzhen sells a residential plot at a 114% premium to the reserve price
- ◆ Beijing releases the sixth batch of land sales in 2026
- ◆ Vanke secures up to RMB1.1bn shareholder loan from Shenzhen Metro Group
- ◆ CR Land's May rental income up 11% y-o-y to RMB3.0bn

Michelle Kwok*

Head of Asia Real Estate and HK Equity Research
The Hongkong and Shanghai Banking Corporation Limited
michellekwok@hsbc.com.hk
+852 2996 6918

Raymond Liu*, CFA

Analyst, Asia Real Estate and Conglomerates
The Hongkong and Shanghai Banking Corporation Limited
raymond.w.m.liu@hsbc.com.hk
+852 2996 6743

Oliver Yu*

Analyst, Asia Real Estate
The Hongkong and Shanghai Banking Corporation Limited
oliver.y.o.x.yu@hsbc.com.hk
+852 2288 2050

Stephen Wang*, CFA

Analyst, Asia Real Estate
The Hongkong and Shanghai Banking Corporation Limited
stephen.wang@hsbc.com.hk
+852 2284 1675

Brian Yu*

Associate, Asia Real Estate Research
The Hongkong and Shanghai Banking Corporation Limited
brian.d.yu@hsbc.com.hk
+852 28227281

Tong Yu*, CFA

Associate
Guangzhou

** Employed by a non-US affiliate of HSBC Securities (USA) Inc, and is not registered/qualified pursuant to FINRA regulations*

Disclosures & Disclaimer

This report must be read with the disclosures and the analyst certifications in the Disclosure appendix, and with the Disclaimer, which forms part of it.

Issuer of report: The Hongkong and Shanghai Banking Corporation Limited

View HSBC Global Investment Research at:
<https://www.research.hsbc.com>

Summary of news

Hong Kong

CCL Index up 0.1% w-o-w, to 158.12ppt

Centaline/HKEJ: Centaline Property's CCL Index, which tracks home prices in Hong Kong's secondary market, increased 0.1% w-o-w, to 158.12ppt, marking the highest level in 141 weeks since late September 2023. Centaline comments that the market is watching for potential tightening of cross-border investment measures by the China Securities Regulatory Commission (CSRC). In addition, expectations that the US Federal Reserve could pivot towards rate increases in Q4 may further weigh on sentiment. These developments could slow the pace of property price gains in the period ahead.

Three 'Top 10' home purchases recorded in the secondary market over the past weekend

HKEJ/HKET: According to Centaline, only three home purchases in the secondary market among the "Top 10 Most Popular Housing Estates" were recorded over the weekend (13-14 June), down 66.7% w-o-w and hitting a 55-week low. Centaline comments that recent new developments have achieved strong sales. In contrast, the secondary market has been constrained by continued unsettled weather, which has significantly reduced viewing activity.

New price list launched at One Victoria Cove Phase 4

HKET/HKEJ: Henderson Land, Hysan Development and Empire Group have issued the new price list of 50 units for One Victoria Cove Phase 4 in Hung Hom. The batch comprises two- to three-bedroom units, which are priced at HKD6.9 million to HKD13.5 million per unit, or HKD19,589–23,105 psf, after discount. Developers also released their new round of sales arrangement, covering 53 units to be launched this Thursday (18 June).

Mainland China

Shenzhen sells a residential plot at a 114% premium to the reserve price

Guandian: Shenzhen sold a residential plot to C&D for RMB3.5bn (RMB95,918 per sqm) after 300 rounds of bidding, representing a 114% premium to the reserve price of RMB1.6bn. Zoned for residential use, the plot is located in Qianhai Guiwan area of Nanshan District with a GFA of 36,750 sqm.

Beijing releases the sixth batch of land sales in 2026

Guandian: On 12 June, Beijing Municipal Commission of Planning and Natural Resources released the sixth batch of land sales in 2026, which comprises three residential sites with a total GFA of 190,000 sqm. All three sites are located in Chaoyang District.

Vanke secures up to RMB1.1bn shareholder loan from Shenzhen Metro Group

Company announcement: On 12 June, Vanke announced that Shenzhen Metro Group will provide a loan up to cRMB1.1bn, with a term of less than three years and a floating annualised interest rate. The recently extended "23 Vanke MTN003" is scheduled to be redeemed on 15 June, with total principal and interest payable for this period amounts to RMB0.9bn. Company also announced that as of 11 June 2026, the expiry date of the bidding period, there is no intended bidder which can satisfy the bidding conditions for the proposed disposal of its subsidiary, Huanshan.

CR Land's May rental income up 11% y-o-y to RMB3.0bn

Company announcement: China Resources Land (CR Land) recorded total contracted sales of cRMB24bn in May, down 9% m-o-m and up 28% y-o-y. The total contracted sales GFA amounted to 521,000 sqm, down 9% m-o-m and 20% y-o-y. The ASP achieved during the month increased by 4% m-o-m and 60% y-o-y, to RMB45,106 per sqm. In May, the company achieved gross rental income of RMB3.0bn, up 11% y-o-y.

Valuation perspective

Valuation summary: Hong Kong & mainland China Developers, REITs and Landlords (as of previous market close)

Company	Bloomberg code	HSBC rating	Share price HKD	Target price HKD	Market cap USDbn	3-month ADTV USDm	Est. NAV HKD/sh	Current (disc)/prem %	FY25a	Core PE (x) FY26e	FY27e	Yield (%) FY26e	PB (x) FY25a	Net debt/equity (%) FY26e
Hong Kong property														
CK Asset	1113 HK	Hold	46.28	46.00	20.7	36.8	95.8	(52)	13.5	12.2	11.7	3.9	0.4	1
CK Hutchison	1 HK	Buy	69.45	74.60	33.9	69.8	158.8	(56)	11.9	9.9	9.1	3.9	0.5	17
Hang Lung Properties	101 HK	Buy	7.72	10.90	5.0	9.9	21.8	(65)	11.9	11.4	10.4	6.7	0.3	35
Henderson Land	12 HK	Buy	26.94	35.80	16.6	40.2	51.2	(47)	21.5	14.6	12.6	4.7	0.4	43
HKLand (USD)	HKL SP	Buy	7.33	9.82	15.7	23.2	11.8	(38)	34.9	23.2	21.7	3.7	0.5	7
Hysan	14 HK	Buy	16.98	23.00	2.2	6.4	53.6	(68)	6.9	6.8	8.1	6.4	0.3	45
Jardine Matheson	JM SP	Buy	63.25	93.70	18.6	26.0	105.3	(40)	11.1	11.2	10.6	3.9	0.6	12
Kerry Properties	683 HK	Buy	19.89	24.00	3.7	5.5	46.0	(57)	14.3	11.9	5.9	6.8	0.3	24
MTR Corporation	66 HK	Hold	31.72	29.80	25.2	26.4	35.5	(11)	11.8	13.4	20.3	4.1	1.0	30
New World Development	17 HK	Reduce	7.59	6.20	2.4	6.9	34.0	(78)	n.m.	n.m.	n.m.	-	0.1	57
Sino Land	83 HK	Buy	11.30	14.40	13.8	13.9	22.9	(51)	19.6	22.1	21.3	5.1	0.6	net cash
Sun Hung Kai Properties	16 HK	Buy	117.00	150.60	43.3	94.1	200.8	(42)	15.5	14.0	12.2	3.4	0.5	14
Swire Pacific	19 HK	Buy	82.95	98.60	13.0	13.1	154.1	(46)	11.8	9.2	9.0	4.8	0.4	12
Swire Properties Ltd	1972 HK	Buy	21.68	30.20	15.9	10.4	50.4	(57)	14.5	14.7	15.0	5.5	0.5	17
Wharf Holdings	4 HK	Hold	19.38	25.50	7.6	13.7	47.3	(59)	14.2	12.8	13.1	2.1	0.4	8
Wharf REIC	1997 HK	Buy	22.48	32.20	8.7	15.2	53.6	(58)	10.6	10.5	10.2	6.2	0.4	16
REITs & trusts*														
Champion REIT*	2778 HK	Reduce	2.26	1.75	1.8	0.5	1.8	29	17.9	18.6	17.9	5.4	0.4	34
Fortune REIT*	778 HK	Hold	4.74	5.13	1.2	1.8	5.2	(8)	13.5	13.9	13.4	7.2	0.4	39
Link REIT*	823 HK	Buy	36.70	46.50	12.1	54.5	46.5	(21)	13.5	14.5	14.8	6.9	0.6	30
Property management services														
China Overseas Property	2669 HK	Hold	3.96	4.30	1.7	4.7	n.a.	n.a.	7.1	6.7	6.3	4.9	1.7	net cash
CR Mixc	1209 HK	Hold	43.62	44.00	12.7	20.9	n.a.	n.a.	21.8	19.8	18.2	5.1	4.8	net cash
Country Garden Services	6098 HK	Hold	5.54	6.10	2.3	5.6	n.a.	n.a.	6.3	5.9	5.1	10.2	0.4	net cash
Greentown Service	2869 HK	Buy	4.80	5.10	1.9	2.0	n.a.	n.a.	14.9	13.3	12.2	5.4	1.6	net cash
Sunac Services	1516 HK	Hold	0.87	0.90	0.3	1.4	n.a.	n.a.	6.5	4.0	3.9	1.5	0.4	net cash
Property brokerage services														
KE Holdings (Beike) (USD)	BEKE US	Buy	16.89	23.30	19.0	78.3	n.a.	n.a.	25.2	17.1	14.1	2.4	2.0	net cash
Mainland China property														
C&D International	1908 HK	Buy	15.50	19.90	4.4	14.3	42.4	(63)	7.6	6.8	6.3	7.4	0.7	25
China Overseas Land	688 HK	Buy	15.69	16.50	21.9	59.0	25.7	(39)	11.4	12.5	11.7	3.0	0.4	33
China Resources Land	1109 HK	Buy	37.28	43.80	33.9	101.1	55.5	(33)	10.2	9.7	9.1	3.8	0.8	39
China Vanke	2202 HK	Reduce	2.64	2.50	5.3	8.9	5.9	(55)	n.m.	n.m.	n.m.	-	0.3	108
CIFI Holdings	884 HK	Hold	0.05	0.08	0.1	0.8	0.5	(90)	n.m.	n.m.	n.m.	-	0.0	81
Country Garden	2007 HK	Hold	0.21	0.30	1.3	12.5	1.9	(89)	1.6	n.m.	n.m.	-	n.m.	n.m.
China Jinmao	817 HK	Hold	1.60	1.50	2.8	10.4	3.5	(54)	26.7	27.6	26.0	1.3	0.5	76
Greentown China	3900 HK	Hold	8.40	9.50	2.7	13.1	17.9	(53)	n.m.	27.4	10.3	1.6	0.5	65
Longfor Group	960 HK	Hold	8.75	8.60	7.9	20.3	25.4	(66)	n.m.	41.1	15.1	0.7	0.3	48
Seazen Group	1030 HK	Buy	1.67	3.00	1.5	5.9	7.4	(77)	26.8	7.6	5.5	-	0.2	59
Shenzhen Investment	604 HK	Hold	0.76	0.70	0.9	1.0	2.2	(65)	13.5	22.7	14.8	-	0.2	91
Yanlord (SGD)	YLLG SP	Hold	0.65	0.53	1.0	2.2	1.6	(60)	n.m.	17.4	16.3	-	0.2	34
Yuexiu Property	123 HK	Buy	4.45	5.10	2.3	6.0	14.7	(70)	59.6	14.9	9.5	2.7	0.3	69

	Bloomberg code	HSBC Rating	Share price HKD	Target price USD	Market cap USDbn	3-month ADTV USDm	EV USDbn	Rev CAGR FY24-27e	EV / Sales (x) FY25a	FY26e	FY27e	EV / EBITDA (x) FY25a	FY26e	Net debt/equity (%) FY25a
Hotels, restaurants & Leisure														
Airbnb (USD)	ABNB US	Buy	132.28	162.00	78.9	484.8	132.5	12%	10.8	9.5	8.5	30.8	27.0	net cash

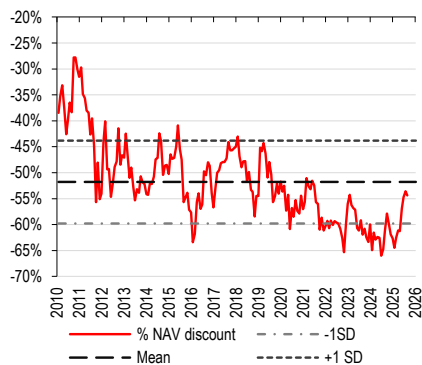
*Core PE refers to PE/distribution (x), *Yield refers to DPU yield, and *Net debt/equity refers to gross debt/total assets

**Since listing on 9 February 2018

Source: Bloomberg, HSBC estimates

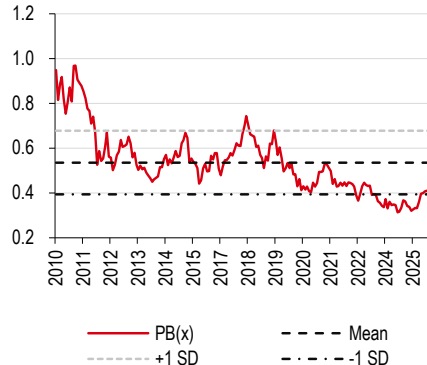
Hong Kong

NAV discount chart – developers



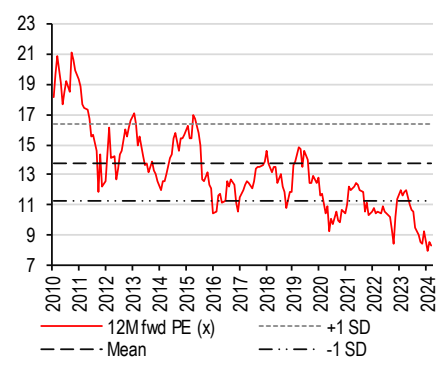
Source: LSEG Datastream, HSBC estimates

PB chart (x) – developers



Source: LSEG Datastream, HSBC estimates

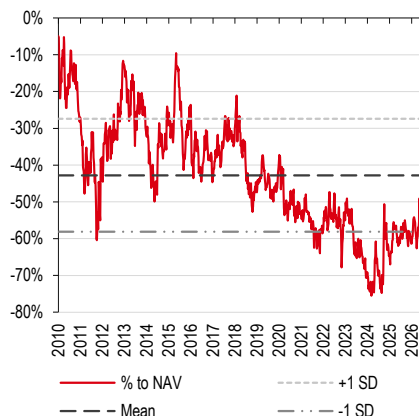
PE chart (x) – developers



Source: LSEG Datastream, HSBC estimates

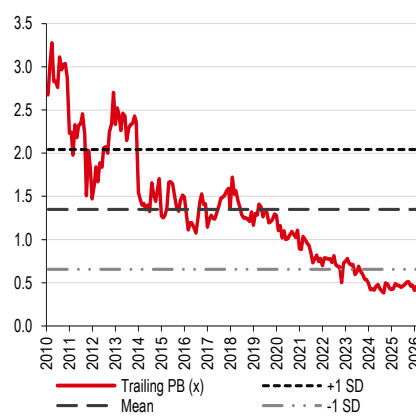
Mainland China

NAV discount chart – SOE developers



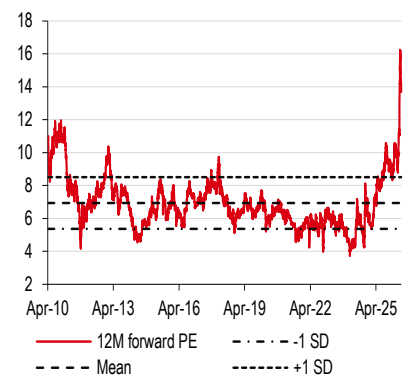
Note: The average NAV discount of COLI, CRL, Vanke, Greentown, Yuexiu, and C&D International
 Source: Bloomberg, HSBC estimates

PB chart (x) – SOE developers



Note: The average trailing PB of COLI, CRL, Vanke, Greentown, Yuexiu, and C&D International based on monthly data.
 Source: Bloomberg, HSBC estimates

Forward PE (x) – SOE developers



Note: The average forward PE of COLI, CRL, Vanke, Greentown, Yuexiu, C&D International and Longfor based on Bloomberg consensus.
 Source: Bloomberg, HSBC

Share price performance

HK/mainland China property – share price performance

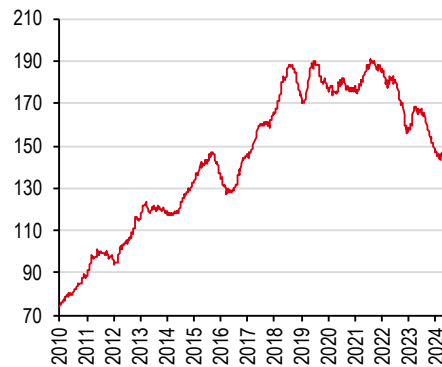
Company	52-week		Absolute performance (%)						Relative performance (%)					
	High	Low	1W	1M	3M	6M	12M	YTD	1W	1M	3M	6M	12M	YTD
Hong Kong property														
CK Asset	52.4	32.8	0	(9)	(1)	16	38	18	1	(3)	3	21	35	21
CK Hutchison	74.4	46.3	2	(4)	17	25	48	31	3	2	21	30	45	35
Hang Lung Properties	10.3	6.5	(2)	(13)	(16)	(16)	17	(10)	(1)	(7)	(12)	(11)	14	(7)
Henderson Land	35.7	24.9	(3)	(21)	(13)	(9)	6	(4)	(2)	(14)	(10)	1	3	(1)
Hongkong Land (USD)	9.1	5.4	(1)	(12)	(14)	2	32	5	0	(6)	(10)	7	29	9
Hysan	23.3	13.5	(5)	(15)	(8)	(10)	23	(10)	(4)	(9)	(4)	(5)	20	(7)
Jardine Matheson	82.5	44.0	1	(12)	(17)	(10)	42	(8)	2	(6)	(13)	(5)	39	(4)
Kerry Properties	26.1	18.2	(5)	(19)	(14)	(4)	5	(2)	(4)	(13)	(10)	4	9	4
MTR Corporation	37.9	26.1	1	(6)	(8)	3	14	6	2	(0)	(4)	8	11	10
New World Development	12.5	4.8	(0)	(20)	(20)	4	50	4	1	(14)	(16)	9	47	8
Sino Land	13.3	8.1	(3)	(13)	0	4	37	11	(2)	(6)	4	9	34	14
Sun Hung Kai Properties	148.8	82.8	(3)	(16)	(12)	18	37	24	(2)	(10)	(8)	23	34	27
Swire Pacific	91.6	62.5	(0)	(7)	0	26	22	32	1	(1)	4	31	19	36
Swire Properties Ltd	27.2	18.0	1	(13)	(11)	1	18	3	1	(8)	(8)	9	22	9
Wharf REIC	29.4	20.3	(2)	(11)	(10)	(10)	9	(9)	(1)	(5)	(6)	(5)	6	(5)
Wharf Holdings	30.6	19.3	(7)	(31)	(17)	(16)	(16)	(11)	(6)	(25)	(14)	(11)	(19)	(7)
Simple average			(2)	(14)	(10)	0	24	3	(1)	(8)	(6)	6	22	7
REITs														
Champion REIT	2.8	1.9	(5)	(8)	(3)	0	15	(11)	(4)	(2)	1	5	12	(8)
Fortune REIT	5.4	4.5	(0)	(5)	(7)	(5)	4	(3)	1	1	(3)	0	1	0
Link REIT	45.1	34.1	(4)	(12)	(2)	6	(13)	6	(3)	(6)	2	10	(15)	9
Property management services														
China Overseas Property	5.9	3.6	7	(6)	(7)	(18)	(27)	(12)	7	0	(4)	(10)	(22)	(6)
CR Mixc	51.2	35.7	3	(13)	(3)	(1)	13	2	4	(7)	1	7	17	8
Country Garden Services	7.0	5.1	(5)	(7)	(1)	(5)	(9)	0	(5)	(2)	3	3	(5)	6
Greentown Service	5.4	3.8	4	0	14	5	12	2	5	6	18	13	16	8
Sunac Services	2.2	0.8	(4)	(25)	(30)	(40)	(50)	(38)	(4)	(19)	(26)	(32)	(46)	(32)
Property brokerage services														
KE Holdings (Beike)	21.0	14.4	(1)	(11)	(0)	(5)	(14)	4	(1)	(6)	3	3	(10)	10
Mainland China property														
C&D International	19.2	12.5	(0)	(15)	9	(4)	(6)	(1)	1	(9)	13	4	(2)	5
China Overseas Land	16.7	11.4	0	(2)	22	23	14	28	1	4	25	31	18	34
China Resources Land	39.9	26.0	4	(2)	23	32	40	37	5	4	27	40	44	43
China Vanke	6.0	2.5	1	(19)	(22)	(28)	(48)	(20)	2	(13)	(18)	(20)	(44)	(13)
CIFI Holdings	0.3	0.0	(15)	(27)	(26)	(71)	(79)	(68)	(14)	(21)	(22)	(64)	(75)	(62)
Country Garden	0.7	0.2	(2)	(21)	(30)	(57)	(45)	(49)	(1)	(16)	(27)	(49)	(41)	(43)
China Jinmao	2.0	1.1	(1)	(18)	8	30	42	32	0	(12)	12	38	46	38
Greentown	12.0	8.0	(3)	(23)	(19)	(3)	(14)	(1)	(2)	(17)	(15)	5	(10)	5
Longfor Group	12.2	7.4	12	(11)	(6)	(6)	(11)	2	13	(5)	(2)	1	(7)	8
Seazen Group	2.8	1.6	1	(29)	(25)	(21)	(26)	(19)	2	(24)	(21)	(13)	(22)	(12)
SZ Investment	1.3	0.7	0	(13)	(7)	(12)	0	(4)	1	(7)	(4)	(4)	4	2
Yanlord (SGD)	0.8	0.5	(4)	(20)	2	(7)	31	(7)	(3)	(14)	5	(2)	28	(4)
Yuexiu Property	5.4	3.6	1	(5)	6	6	2	12	2	0	10	13	6	18
Simple average			(0)	(15)	(3)	(5)	(5)	(1)	1	(10)	1	2	(1)	5
Hotel, restaurants & Leisure														
Airbnb	147.3	110.8	(2)	(3)	2	2	(6)	(4)	(1)	2	6	10	(2)	2

Source: Bloomberg, HSBC

Key sector metrics

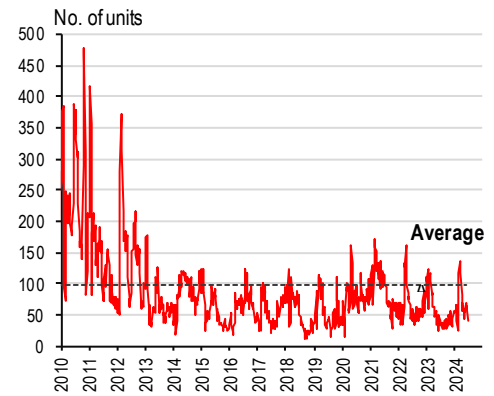
Hong Kong

Centa-City Leading Index (CCL)



Source: Centaline, HSBC

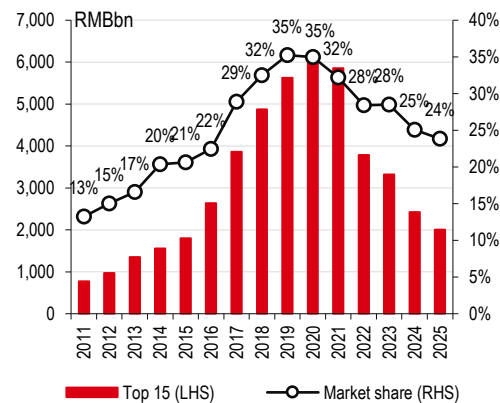
Weekly transaction of 35 major estates



Source: Midland, HSBC

Mainland China

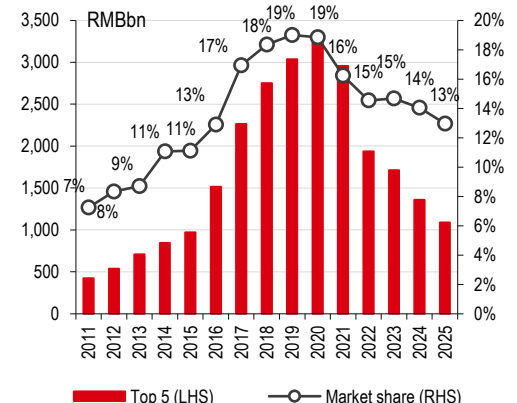
Market share of Top 15 developers*



Source: CRIC, NBS, HSBC

*Top 15 developers in terms of property sales value

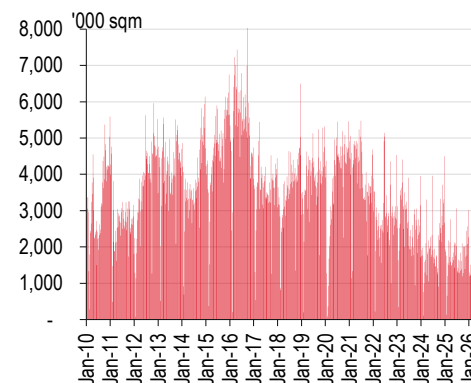
Market share of Top 5 developers*



Source: CRIC, NBS, HSBC

*Top five developers in terms of property sales value

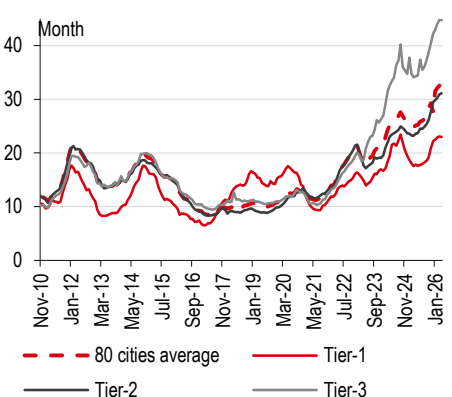
Weekly new home sales – 30 key cities



Source: Wind, HSBC

Note: Include 4 tier-1 cities, 13 tier-2 cities and 13 tier-3 cities.

Inventory turnover months – 80 cities



Source: CRIC, HSBC

Disclosure appendix

Analyst Certification

The following analyst(s), economist(s), or strategist(s) who is(are) primarily responsible for this report, including any analyst(s) whose name(s) appear(s) as author of an individual section or sections of the report and any analyst(s) named as the covering analyst(s) of a subsidiary company in a sum-of-the-parts valuation certifies(y) that the opinion(s) on the subject security(ies) or issuer(s), any views or forecasts expressed in the section(s) of which such individual(s) is(are) named as author(s), and any other views or forecasts expressed herein, including any views expressed on the back page of the research report, accurately reflect their personal view(s) and that no part of their compensation was, is or will be directly or indirectly related to the specific recommendation(s) or views contained in this research report: Michelle Kwok, Raymond Liu, CFA, Oliver Yu, Stephen Wang, CFA and Brian Yu

Important disclosures

Equities: Stock ratings and basis for financial analysis

HSBC and its affiliates, including the issuer of this report ("HSBC") believes an investor's decision to buy or sell a stock should depend on individual circumstances such as the investor's existing holdings, risk tolerance and other considerations and that investors utilise various disciplines and investment horizons when making investment decisions. Ratings should not be used or relied on in isolation as investment advice. Different securities firms use a variety of ratings terms as well as different rating systems to describe their recommendations and therefore investors should carefully read the definitions of the ratings used in each research report. Further, investors should carefully read the entire research report and not infer its contents from the rating because research reports contain more complete information concerning the analysts' views and the basis for the rating.

From 23rd March 2015 HSBC has assigned ratings on the following basis:

The target price is based on the analyst's assessment of the stock's actual current value, although we expect it to take six to 12 months for the market price to reflect this. When the target price is more than 20% above the current share price, the stock will be classified as a Buy; when it is between 5% and 20% above the current share price, the stock may be classified as a Buy or a Hold; when it is between 5% below and 5% above the current share price, the stock will be classified as a Hold; when it is between 5% and 20% below the current share price, the stock may be classified as a Hold or a Reduce; and when it is more than 20% below the current share price, the stock will be classified as a Reduce.

Our ratings are re-calibrated against these bands at the time of any 'material change' (initiation or resumption of coverage, change in target price or estimates).

Upside/Downside is the percentage difference between the target price and the share price.

Prior to this date, HSBC's rating structure was applied on the following basis:

For each stock we set a required rate of return calculated from the cost of equity for that stock's domestic or, as appropriate, regional market established by our strategy team. The target price for a stock represented the value the analyst expected the stock to reach over our performance horizon. The performance horizon was 12 months. For a stock to be classified as Overweight, the potential return, which equals the percentage difference between the current share price and the target price, including the forecast dividend yield when indicated, had to exceed the required return by at least 5 percentage points over the succeeding 12 months (or 10 percentage points for a stock classified as Volatile*). For a stock to be classified as Underweight, the stock was expected to underperform its required return by at least 5 percentage points over the succeeding 12 months (or 10 percentage points for a stock classified as Volatile*). Stocks between these bands were classified as Neutral.

*A stock was classified as volatile if its historical volatility had exceeded 40%, if the stock had been listed for less than 12 months (unless it was in an industry or sector where volatility is low) or if the analyst expected significant volatility. However, stocks which we did not consider volatile may in fact also have behaved in such a way. Historical volatility was defined as the past month's average of the daily 365-day moving average volatilities. In order to avoid misleadingly frequent changes in rating, however, volatility had to move 2.5 percentage points past the 40% benchmark in either direction for a stock's status to change.

Rating distribution for long-term investment opportunities

As of 31 March 2026, the distribution of all independent ratings published by HSBC is as follows:

Buy	59%	(12% of these provided with Investment Banking Services in the past 12 months)
Hold	36%	(12% of these provided with Investment Banking Services in the past 12 months)
Sell	6%	(6% of these provided with Investment Banking Services in the past 12 months)

For the purposes of the distribution above the following mapping structure is used during the transition from the previous to current rating models: under our previous model, Overweight = Buy, Neutral = Hold and Underweight = Sell; under our current model Buy = Buy, Hold = Hold and Reduce = Sell. For rating definitions under both models, please see “Stock ratings and basis for financial analysis” above.

For the distribution of non-independent ratings published by HSBC, please see the disclosure page available at <http://www.hsbcnet.com/gbm/financial-regulation/investment-recommendations-disclosures>.

To view a list of all the independent fundamental ratings/recommendations disseminated by HSBC during the preceding 12-month period, and the location where we publish our quarterly distribution of non-fundamental recommendations (applicable to Fixed Income and Currencies research only), please use the following links to access the disclosure page:

Clients of HSBC Private Bank: www.research.privatebank.hsbc.com/Disclosures

All other clients: www.research.hsbc.com/A/Disclosures

HSBC and its affiliates will from time to time sell to and buy from customers the securities/instruments, both equity and debt (including derivatives) of companies covered in HSBC Research on a principal or agency basis or act as a market maker or liquidity provider in the securities/instruments mentioned in this report.

Analysts, economists, and strategists are paid in part by reference to the profitability of HSBC which includes investment banking, sales & trading, and principal trading revenues.

Whether, or in what time frame, an update of this analysis will be published is not determined in advance.

Non-U.S. analysts may not be associated persons of HSBC Securities (USA) Inc, and therefore may not be subject to FINRA Rule 2241 or FINRA Rule 2242 restrictions on communications with the subject company, public appearances and trading securities held by the analysts.

Economic sanctions laws imposed by certain jurisdictions such as the US, the EU, the UK, and others, may prohibit persons subject to those laws from making certain types of investments, including by transacting or dealing in securities of particular issuers, sectors, or regions. This report does not constitute advice in relation to any such laws and should not be construed as an inducement to transact in securities in breach of such laws.

For disclosures in respect of any company mentioned in this report, please see the most recently published report on that company available at www.hsbcnet.com/research. HSBC Private Bank clients should contact their Relationship Manager for queries regarding other research reports. In order to find out more about the proprietary models used to produce this report, please contact the authoring analyst.

Additional disclosures

- 1 This report is dated as at 15 June 2026.
- 2 All market data included in this report are dated as at close 12 June 2026, unless a different date and/or a specific time of day is indicated in the report.
- 3 HSBC has procedures in place to identify and manage any potential conflicts of interest that arise in connection with its Research business. HSBC's analysts and its other staff who are involved in the preparation and dissemination of Research operate and have a management reporting line independent of HSBC's Investment Banking business. Information Barrier procedures are in place between the Investment Banking, Principal Trading, and Research businesses to ensure that any confidential and/or price sensitive information is handled in an appropriate manner.
- 4 You are not permitted to use, for reference, any data in this document for the purpose of (i) determining the interest payable, or other sums due, under loan agreements or under other financial contracts or instruments, (ii) determining the price at which a financial instrument may be bought or sold or traded or redeemed, or the value of a financial instrument, and/or (iii) measuring the performance of a financial instrument or of an investment fund.

Production & distribution disclosures

1. This report was produced and signed off by the author on 15 Jun 2026 00:37 GMT.
2. In order to see when this report was first disseminated please see the disclosure page available at <https://www.research.hsbc.com/R/34/SzKppnR>

Disclaimer

Legal entities as at 13 May 2026:

HSBC Bank plc; HSBC Continental Europe; HSBC Continental Europe SA, Germany; HSBC Bank Middle East Limited, DIFC; HSBC Bank Middle East Limited, Dubai branch; HSBC Yatirim Menkul Degerler AS, Istanbul; The Hongkong and Shanghai Banking Corporation Limited, Hong Kong; The Hongkong and Shanghai Banking Corporation Limited, Singapore Branch; The Hongkong and Shanghai Banking Corporation Limited, Seoul Securities Branch; The Hongkong and Shanghai Banking Corporation Limited, Seoul Branch; HSBC Qianhai Securities Limited; HSBC Securities (Taiwan) Corporation Limited; HSBC Securities and Capital Markets (India) Private Limited, Mumbai; HSBC Bank Australia Limited; HSBC Securities (USA) Inc., New York; HSBC México, SA, Institución de Banca Múltiple, Grupo Financiero HSBC; Banco HSBC SA

Issuer of report

The Hongkong and Shanghai Banking Corporation Limited
Level 16, 1 Queen's Road Central
Hong Kong SAR
Telephone: +852 2843 9111
Fax: +852 2596 0200
Website: www.research.hsbc.com

This document has been issued by The Hongkong and Shanghai Banking Corporation Limited ("HSBC") in the conduct of its Hong Kong regulated business for the information of its institutional and professional investor (as defined by Securities and Future Ordinance (Chapter 571)) customers; it is not intended for and should not be distributed to retail customers in Hong Kong, unless permitted otherwise. The Hongkong and Shanghai Banking Corporation Limited is regulated by the Hong Kong Monetary Authority. All enquiries by recipients in Hong Kong must be directed to your HSBC contact in Hong Kong. If it is received by a customer of an affiliate of HSBC, its provision to the recipient is subject to the terms of business in place between the recipient and such affiliate. This document is not and should not be construed as an offer to sell or the solicitation of an offer to purchase or subscribe for any investment. HSBC has based this document on information obtained from sources it believes to be reliable but which it has not independently verified; HSBC makes no guarantee, representation or warranty and accepts no responsibility or liability as to its accuracy or completeness. Expressions of opinion are those of the Research Division of HSBC only and are subject to change without notice. From time to time research analysts conduct site visits of covered issuers. HSBC policies prohibit research analysts from accepting payment or reimbursement for travel expenses from the issuer for such visits. HSBC and its affiliates and/or their officers, directors and employees may have positions in any securities mentioned in this document (or in any related investment) and may from time to time add to or dispose of any such securities (or investment). HSBC and its affiliates may act as market maker or have assumed an underwriting commitment in the securities of companies discussed in this document (or in related investments), may sell them to or buy them from customers on a principal basis and may also perform or seek to perform investment banking or underwriting services for or relating to those companies. The document is intended to be distributed in its entirety. Unless governing law permits otherwise, you must contact a HSBC Group member in your home jurisdiction if you wish to use HSBC Group services in effecting a transaction in any investment mentioned in this document.

In the UK, this publication is distributed by HSBC Bank plc for the information of its Clients (as defined in the Rules of FCA) and those of its affiliates only. Nothing herein excludes or restricts any duty or liability to a customer which HSBC Bank plc has under the Financial Services and Markets Act 2000 or under the Rules of FCA and PRA. A recipient who chooses to deal with any person who is not a representative of HSBC Bank plc in the UK will not enjoy the protections afforded by the UK regulatory regime. HSBC Bank plc is regulated by the Financial Conduct Authority and the Prudential Regulation Authority.

In the European Economic Area, this publication has been distributed by HSBC Continental Europe or by such other HSBC affiliate from which the recipient receives relevant services.

In Japan, this publication has been distributed by HSBC Securities (Japan) Co., Ltd.. It may not be further distributed in whole or in part for any purpose. In Korea, this publication is distributed by either The Hongkong and Shanghai Banking Corporation Limited, Seoul Securities Branch ("HBAP SLS") or The Hongkong and Shanghai Banking Corporation Limited, Seoul Branch ("HBAP SEL") for the general information of professional investors specified in Article 9 of the Financial Investment Services and Capital Markets Act ("FSCMA"). This publication is not a prospectus as defined in the FSCMA. It may not be further distributed in whole or in part for any purpose. Both HBAP SLS and HBAP SEL are regulated by the Financial Services Commission and the Financial Supervisory Service of Korea. In Singapore, this publication is distributed by The Hongkong and Shanghai Banking Corporation Limited, Singapore Branch for the general information of institutional investors or other persons specified in Sections 274 and 304 of the Securities and Futures Act 2001 of Singapore ("SFA") and accredited investors and other persons in accordance with the conditions specified in Sections 275 and 305 of the SFA. Only Economics or Currencies reports are intended for distribution to a person who is not an Accredited Investor, Expert Investor or Institutional Investor as defined in SFA. The Hongkong and Shanghai Banking Corporation Limited, Singapore Branch accepts legal responsibility for the contents of reports. This publication is not a prospectus as defined in the SFA. It may not be further distributed in whole or in part for any purpose. The Hongkong and Shanghai Banking Corporation Limited Singapore Branch is regulated by the Monetary Authority of Singapore. Recipients in Singapore should contact a "Hongkong and Shanghai Banking Corporation Limited, Singapore Branch" representative in respect of any matters arising from, or in connection with this report. Please refer to The Hongkong and Shanghai Banking Corporation Limited Singapore Branch's website at www.business.hsbc.com.sg for contact details. In Australia, this publication has been distributed by The Hongkong and Shanghai Banking Corporation Limited (ABN 65 117 925 970, AFSL 301737) for the general information of its "wholesale" customers (as defined in the Corporations Act 2001). Where distributed to retail customers, this research is distributed by HSBC Bank Australia Limited (ABN 48 006 434 162, AFSL No. 232595). These respective entities make no representations that the products or services mentioned in this document are available to persons in Australia or are necessarily suitable for any particular person or appropriate in accordance with local law. No consideration has been given to the particular investment objectives, financial situation or particular needs of any recipient.

HSBC Securities (USA) Inc. accepts responsibility for the content of this research report prepared by its non-US foreign affiliate. The information contained herein is under no circumstances to be construed as investment advice and is not tailored to the needs of the recipient. All US persons receiving and/or accessing this report and wishing to effect transactions in any security discussed herein should do so with HSBC Securities (USA) Inc. in the United States and not with its non-US foreign affiliate, the issuer of this report. HSBC México, S.A., Institución de Banca Múltiple, Grupo Financiero HSBC is authorized and regulated by Secretaría de Hacienda y Crédito Público and Comisión Nacional Bancaria y de Valores (CNBV). In Brazil, this document has been distributed by Banco HSBC SA ("HSBC Brazil"), and/or its affiliates. As required by Resolution No. 20/2021 of the Securities and Exchange Commission of Brazil (Comissão de Valores Mobiliários), potential conflicts of interest concerning (i) HSBC Brazil and/or its affiliates; and (ii) the analyst(s) responsible for authoring this report are stated on the chart above labelled "HSBC & Analyst Disclosures". If you are a customer of HSBC International Wealth & Premier Banking ("IWPB"), including HSBC Private Bank, you are eligible to receive this publication only if: (i) you have been approved to receive relevant research publications by an applicable HSBC legal entity; (ii) you have agreed to the applicable HSBC entity's terms and conditions and/or customer declaration for accessing research; and (iii) you have agreed to the terms and conditions of any other internet banking, online banking, mobile banking and/or investment services offered by that HSBC entity, through which you will access research publications (collectively with (ii), the "Terms"). If you do not meet the above eligibility requirements, please disregard this publication and, if you are a IWPB customer, please notify your Relationship Manager or call the relevant customer hotline. Distribution of this publication is the sole responsibility of the HSBC entity with whom you have agreed the Terms. Receipt of research publications is strictly subject to the Terms and any other conditions or disclaimers applicable to the provision of the publications that may be advised by IWPB.

© Copyright 2026, The Hongkong and Shanghai Banking Corporation Limited, ALL RIGHTS RESERVED. No part of this publication may be reproduced, stored in a retrieval system, or transmitted, on any form or by any means, electronic, mechanical, photocopying, recording, or otherwise, without the prior written permission of The Hongkong and Shanghai Banking Corporation Limited.

[1281067]